

Chapter 12

Things to Consider About Per-Share Earnings

This chapter will begin with two pieces of advice to the investor that cannot avoid being contradictory in their implications. The first is: Don't take a single year's earnings seriously. The second is: If you do pay attention to short-term earnings, look out for booby traps in the per-share figures. If our first warning were followed strictly the second would be unnecessary. But it is too much to expect that most shareholders can relate all their common-stock decisions to the long-term record and the long-term prospects. The quarterly figures, and especially the annual figures, receive major attention in financial circles, and this emphasis can hardly fail to have its impact on the investor's thinking. He may well need some education in this area, for it abounds in misleading possibilities.

As this chapter is being written the earnings report of Aluminum Company of America (ALCOA) for 1970 appears in the *Wall Street Journal*. The first figures shown are

	1970	1969
Share earnings ^a	\$5.20	\$5.58

The little ^a at the outset is explained in a footnote to refer to "primary earnings," before special charges. There is much more footnote material; in fact it occupies twice as much space as do the basic figures themselves.